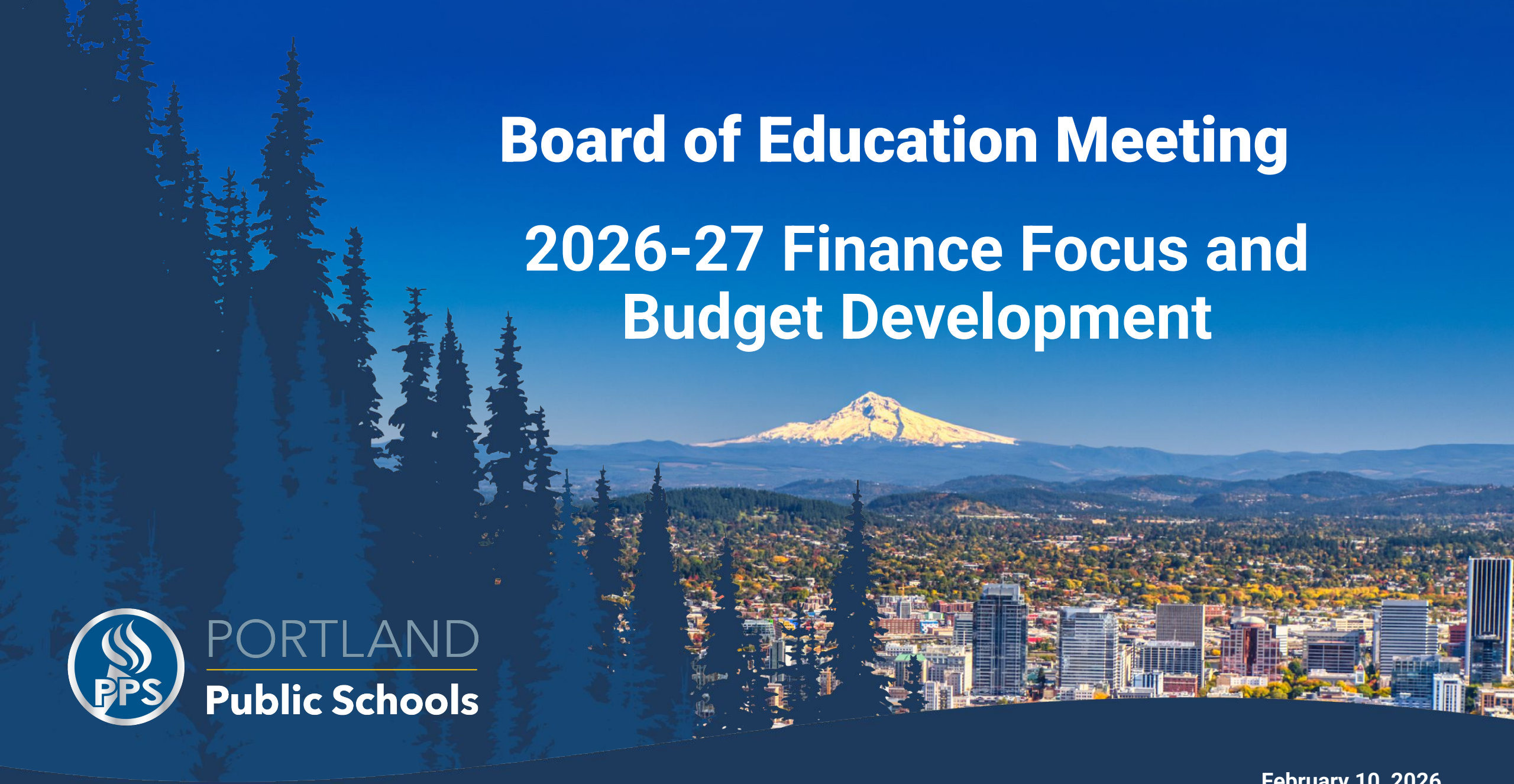
Board of Education Meeting

2026-27 Finance Focus and Budget Development



PORTLAND
Public Schools

February 10, 2026

DISTRICT INFORMATION

LARGEST DISTRICT IN OREGON

NUMBER OF SCHOOLS

45 ELEMENTARY		10 HIGH
11 K-8	14 MIDDLE	1 K-12

BOARD MEMBERS

Zone 1
Christy Splitt

Zone 2
Michelle DePass (Vice-Chair)

Zone 3
Patte Sullivan

Zone 4
Rashelle Chase-Miller

Zone 5
Virginia La Forte

Zone 6
Stephanie Engelsman

Zone 7
Edward (Eddie) Wang (Chair)

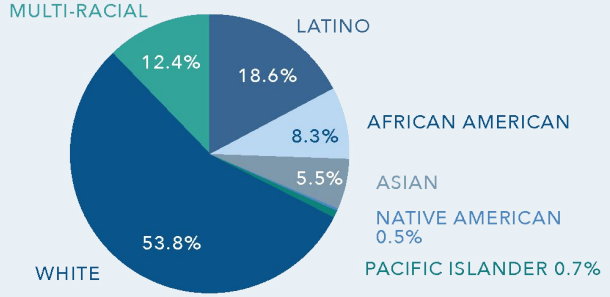
Student Representative
Ian Ritorto

STUDENT ENROLLMENT*

44,086 TOTAL

41,630	794	356	1,306
STUDENTS IN DISTRICT SCHOOLS	STUDENTS IN COMUNITY BASED PROGRAMS	STUDENTS IN SPECIAL SERVICES PROGRAMS	STUDENTS IN PUBLIC CHARTER SCHOOLS

STUDENT INFORMATION



RECEIVE ESL SERVICES
10%

ELIGIBLE FOR FREE MEALS via direct certification
31.3% 2023-24 school year

RECEIVE SPED SERVICES
17%

District Continuous Improvement Plan GOAL AREAS

- ATTENDANCE
- LITERACY
- MATH
- 9th Grade SUCCESS

*Numbers are approximate

TOGETHER, WE *RISE*

WITH **EXCELLENCE.** WITH **PURPOSE.**

Finance Focus & Budget Work Session Topics

- FY 25 Annual Comprehensive Financial Report Review
- Bond Rating and Sale Update
- Budget Reminders and Development Activities
- Discussion on upcoming Finance Focus topics



FY25 Annual Comprehensive Financial Report Highlights

- Staff Memo and Summary to identify specific areas of interest
  - GFOA Award
  - Corrective Action Plans as needed
  - Operational Fund Balance
  - Management Discussion and Analysis
  - Statistical Section



CFO Note on Findings

- The 2024-25 Fiscal year was over 50% completed prior to the current Financial Leadership Team
- Federal Program findings were procedural and control compliance, **not a loss or misuse of funds**
- State Program findings were were procedural and control compliance, **not a loss or misuse of funds**



Corrective Action Plan- Federal Programs

Finding: formal report identifying an issue where financial practices, records, or controls do not align with established standards, laws, or internal policies.	Corrective Action Plan: Describe the remedy, when it will be implemented and by whom.
2025-001 – Schedule of Expenditure of Federal Awards Under 2 CFR 200.510(b), the District is required to prepare a Schedule of Expenditures of Federal Awards (SEFA) for the period covered by the auditee's financial statements that includes the total federal awards expended as determined in accordance with 2 CFR 200.502. Additionally, the District has the responsibility for establishing and maintaining effective internal control over financial reporting and compliance	The Chief Financial Officer will ensure that there is at least a two-tier transactional review by managers to ensure that grant revenues, receivables, and unavailable grant revenue are correctly documented, effective immediately.
2025-002–Documented Review of Indirect Costs to Grants **2025-003-Documented Review of Indirect Costs to Grants** **2025-004-Time & Effort Certification for Federal Grants** **2025-005-Calculation of Indirect Costs to Grants** **2025-006-Documented Review of ESSER Annual Report** Per 2 CFR 200.303, a non-Federal entity must “establish and maintain effective internal control over the Federal award that provides reasonable assurance that the non-Federal entity is managing the Federal award in compliance with Federal statutes, regulations, and the terms and conditions of the Federal award.”	· The Chief Financial Officer will ensure staff retain documentation of review and approval of the indirect costs charged to the federal programs, effective immediately. · The Chief Financial Officer will ensure staff retain documentation of review and approval of the indirect costs charged to the federal programs, effective immediately. · The Chief Financial Officer will ensure notification to federally funded employees of their funding source twice a year and will make sure supervisors get reports and sign certifications for work duties in compliance with the federal grants twice a year.

Corrective Action Plan- State Programs

Finding: formal report identifying an issue where financial practices, records, or controls do not align with established standards, laws, or internal policies.	Corrective Action Plan: Describe the remedy, when it will be implemented and by whom.
2025-007 Exceeding Budget Appropriations The District had expenditures on a budgetary basis which exceeded appropriations by $4,147 thousand for General Fund – Instruction and by $3,584 thousand for Special Revenue Fund – Support Services.	District staff use multiple analytics softwares to monitor and project end-of-year expenditures by fund, function, and object. Monitored budget appropriations against actual expenditures. Appropriations adjusted to include any targeted carryover identified in the prior year annual financial report. The Chief Financial Officer will ensure monitoring measures for appropriations are in place in compliance with Local Budget Law, effective immediately.
2025-008 Budget Transfers in lieu of Supplemental Budget Oregon Local Budget Law requires a series of publications to adopt a supplemental budget rather than budget transfers.	The Chief Financial Officer will ensure monitoring measures for appropriations and any required modifications to the adopted budget are in place and in compliance with Local Budget Law including publications, effective immediately.
2025-009 State Reporting of Teacher Experience Out of a sample of 60 teachers selected, there were variances between the District's records and the years of experience reported to the Oregon Department of Education for four teachers.	The Chief Financial Officer will collaborate with the Chief Human Resources Officer to audit teacher experience to ensure accuracy in reporting to the Oregon Department of education, effective immediately.

OREGON DEPARTMENT OF EDUCATION

Local Budgeting in Oregon

Next Steps

- No changes to the report
- Board Approval by Resolution February 10th
- Appropriate Filings
  - Oregon Department of Education*
  - Secretary of State
  - EMMA (Public Disclosure to Bondholders)
- Implementation of Corrective Action Plans



*** Filed prior to 2/2/2026 to preserve February State School Fund payment**

February 10th Bond Sale

- 2020 Tranche 3 - up to $90,000,000*
- 2025 Tranche 1 - up to $570,000,000*
- Debt Service not to exceed ballot authorization
- Next sale in 2028 based on current cash flow projections
- **Ratings reports:**
  - **Downgraded by Moody's from Aa2 to Aa3**
  - **Maintained AA- by Standard & Poor's**
- Resources may be used to cover authorized activities so far (2025)



NOTE: Bond proceeds may only be spent on capital projects, not district operations or school staffing.

*** Sales amounts are the maximum, pending market conditions**

Budget Engagement

- Engagement and Outreach
  - Principal Recommendations
  - Union Partners Updates
  - Staff/Educators
  - Community Partners
  - Students and Families
- Preliminary Recommendation for Reductions is under circulation
- Feedback used to inform school staffing
- Transparency Website and Video Series



Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts

Budget Calendar and Activities

January - March 2026	***School Board Budget Work Sessions*** Inclusive of budget trainings, CBRC work session, and school staffing
April 28, 2026	***Budget Committee Meeting (School Board Work Session)*** *CBRC in attendance* **Proposed Budget:** Superintendent delivers 2026-27 Proposed Budget message and presentation
May 12, 2026	***School Board Meeting*** CBRC presents 2026-27 Proposed Budget Report to the Board Board discussion and feedback focused on the budget
May 19, 2026	***Budget Committee Meeting and Budget Work Session*** Board conducts a public hearing and work session on the Proposed Budget
May 26, 2026	***Budget Committee Meeting*** **Approved Budget**: Board as Budget Committee approves 2026-27 Proposed Budget
June 23, 2026	***TSCC Hearing (pending TSCC confirmation)*** TSCC certifies 2026-27 Approved Budget ***Budget Committee Meeting (School Board Meeting)*** **Adopted Budget:** Board conducts a public hearing, adopts budget, makes appropriations, and imposes taxes

Finance Focus Topics

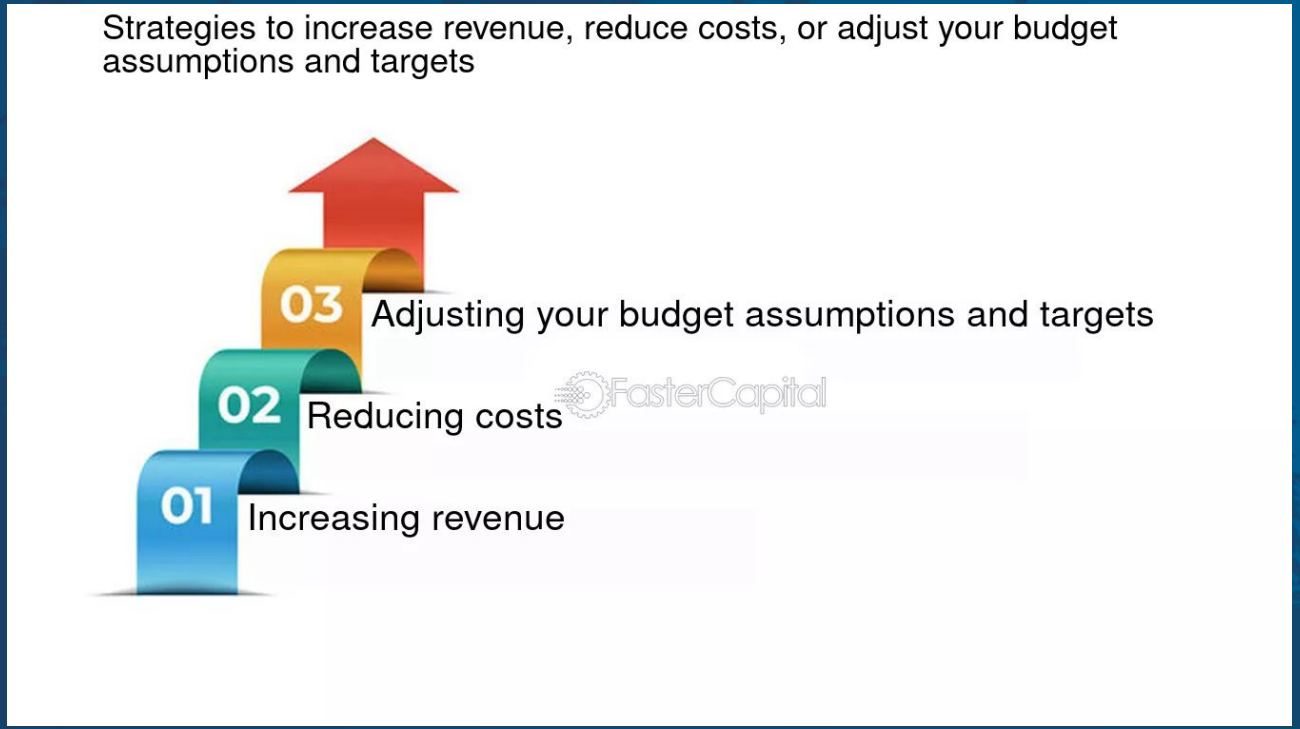
Providing brief insights into areas of financial interest

Suggested items:

- ➔ Public Employee Retirement System (PERS) from the Employer and Employee perspective
- ➔ Health and Welfare Trust
- ➔ Other?

Questions?

Michelle Morrison
Chief Financial Officer
mimorrison@pps.net



Appendix

Prior period highlights and reference slides.

Budget Principles

Principles create a shared understanding of the overarching values that underpin budget development.

- ➔ Providing students with an exceptional educational experience and ensuring their academic success should drive the budget process
- ➔ Decisions should be driven by data
- ➔ Base resourcing decisions on cost-effectiveness
- ➔ Prioritize the Core Program in all schools
- ➔ Critically re-examine patterns of spending
- ➔ Provide every student with equitable access
- ➔ Take a long-term perspective
- ➔ Be transparent

District Continuous Improvement Plan:
Four Goal Areas



ATTENDANCE

LITERACY

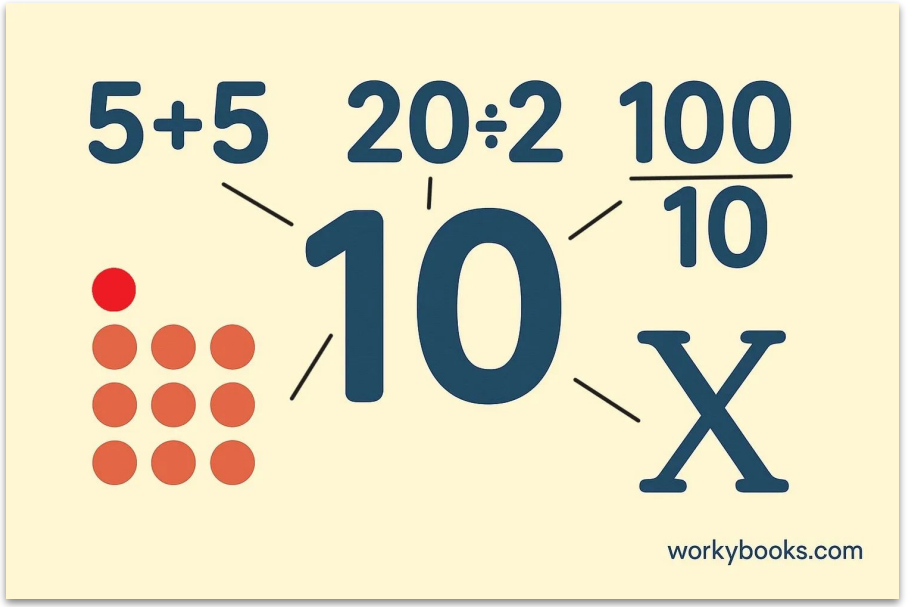
MATH

9TH GRADE SUCCESS

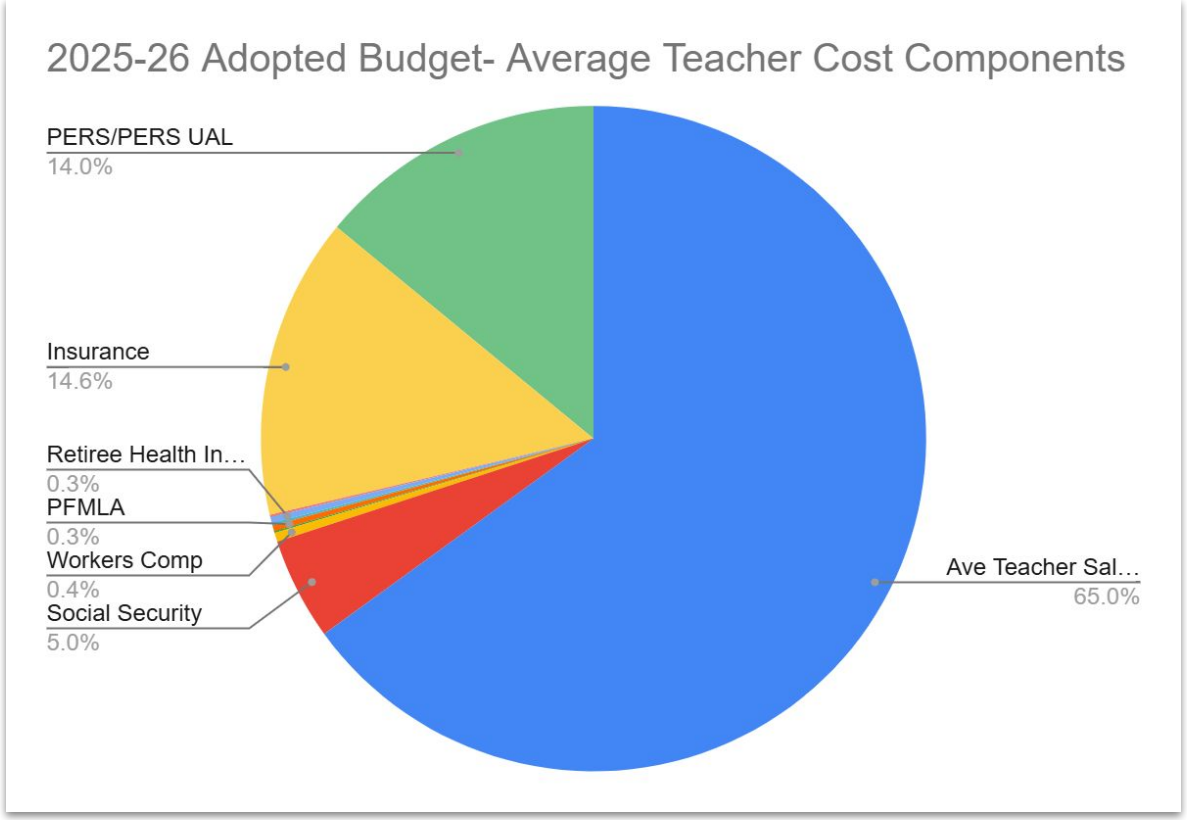
$50 million Budget Gap for 2026-27

Equivalent Values:

- $1,179 per student (42,404 students)
- 14.5 school days ($3.5 million each)
- 312.5 Educator FTEs ($160k each)
- 650 Paraeducators/Instructional Assistant FTE
- 12.5 Annual Elementary School operating budgets ($4.0 million each)
- + 3.0 Student to Classroom Teacher Ratio (averaged across system)



Board Information Requests



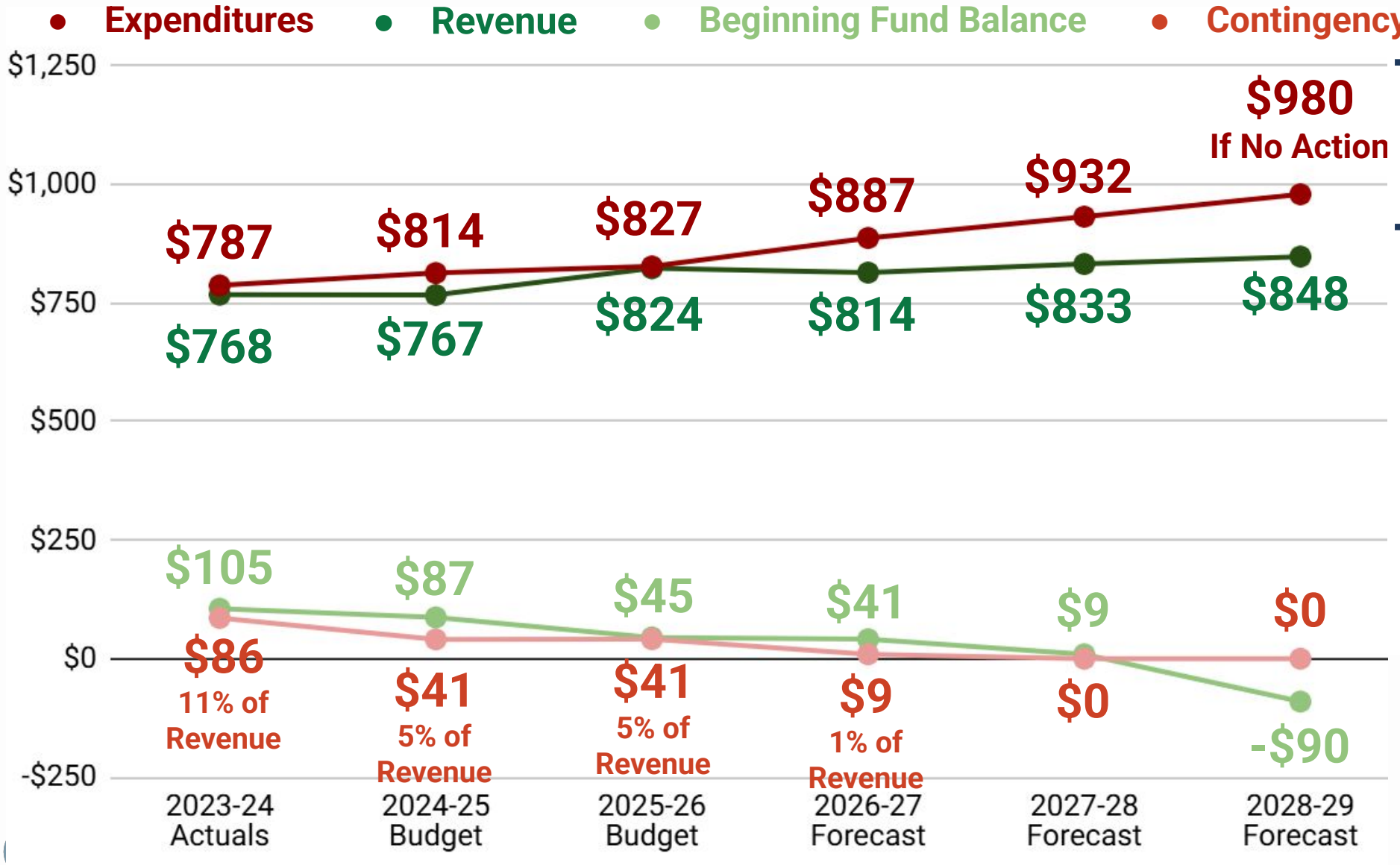
Ave Teacher Salary	$104,579
Social Security	$8,000
Workers Comp	$711
Unemployment Comp	$105
PFMLA	$471
Other Employer Paid Benefits	$188
Retiree Health Insurance	$492
Early Retirement Benefits	$167
Insurance	$23,561
PERS/PERS UAL	$22,578
Total Cost Per FTE	**$160,851**

Unfunded Mandates and Valuation

- Research based on COSA Legislative Reports
  - 2025, 2024
  - 2023, 2022, 2021
- Long-standing rules
  - Division 22 Requirements
  - FAPE (Free and Appropriate Education)
  - Participation in the Public Employee Retirement System
  - Providing equitable access and instruction to English Learners
  - Student Transportation and Access



2025-26 Projected General Fund (In Millions)

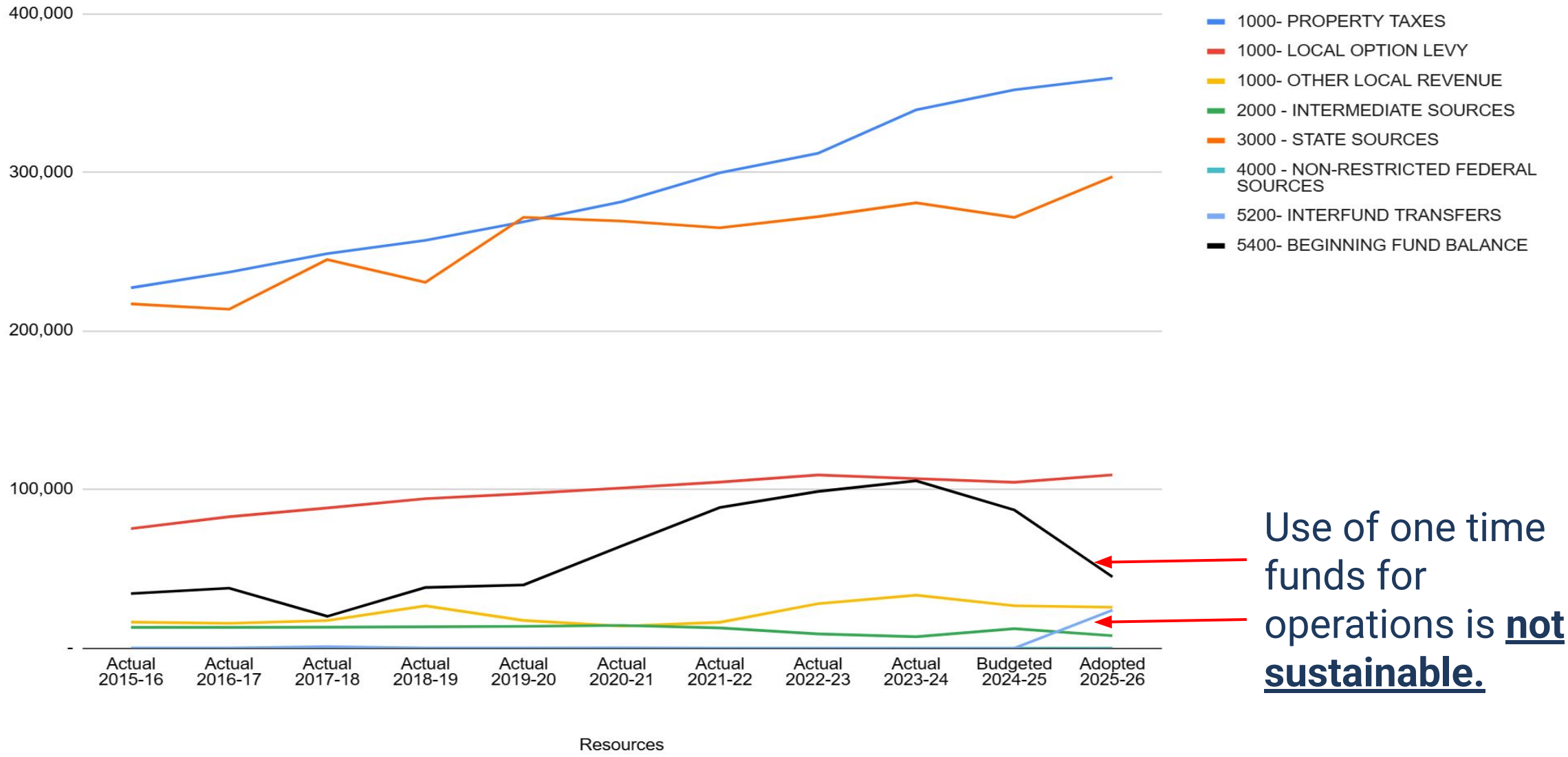


→ Expenses are increasing while revenue declines.

→ If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

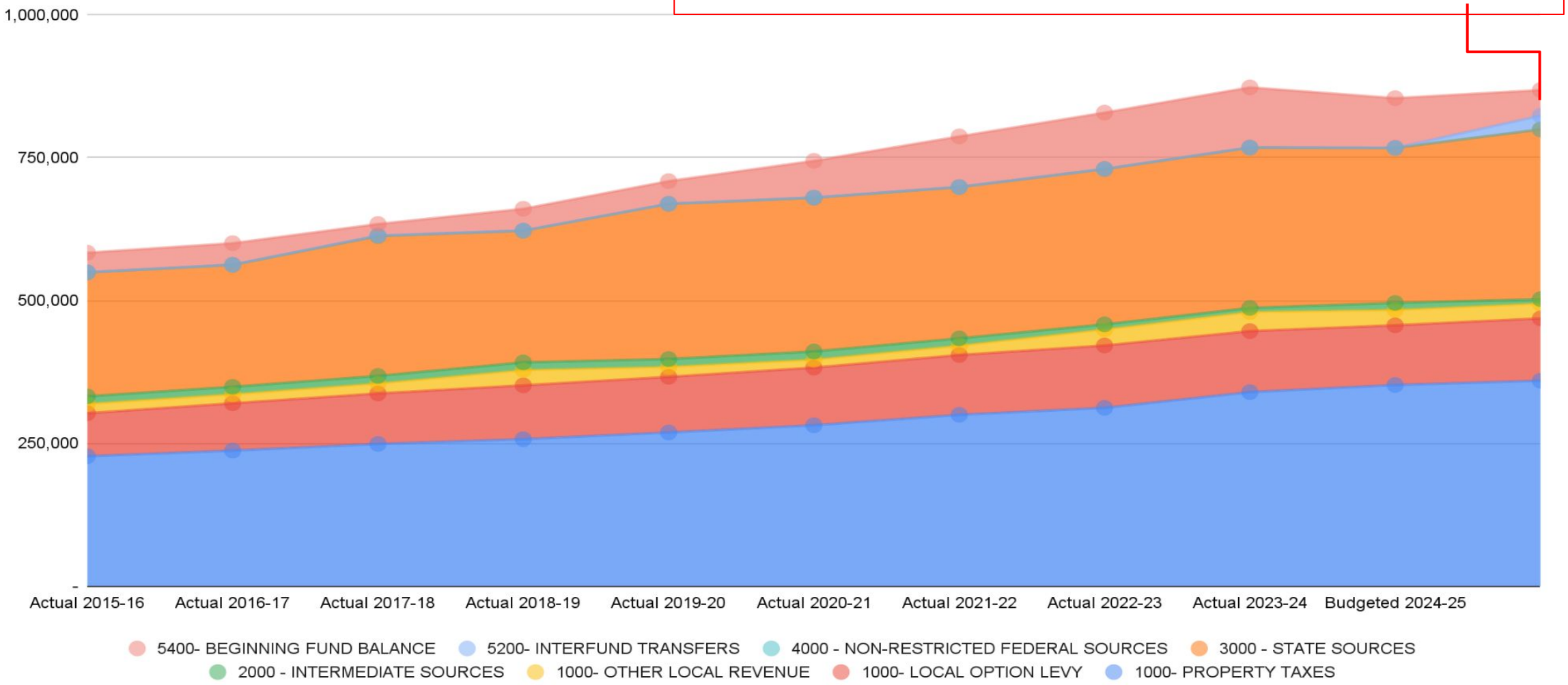
2015-16 to 2025-26 General Fund Revenue (In Thousands)



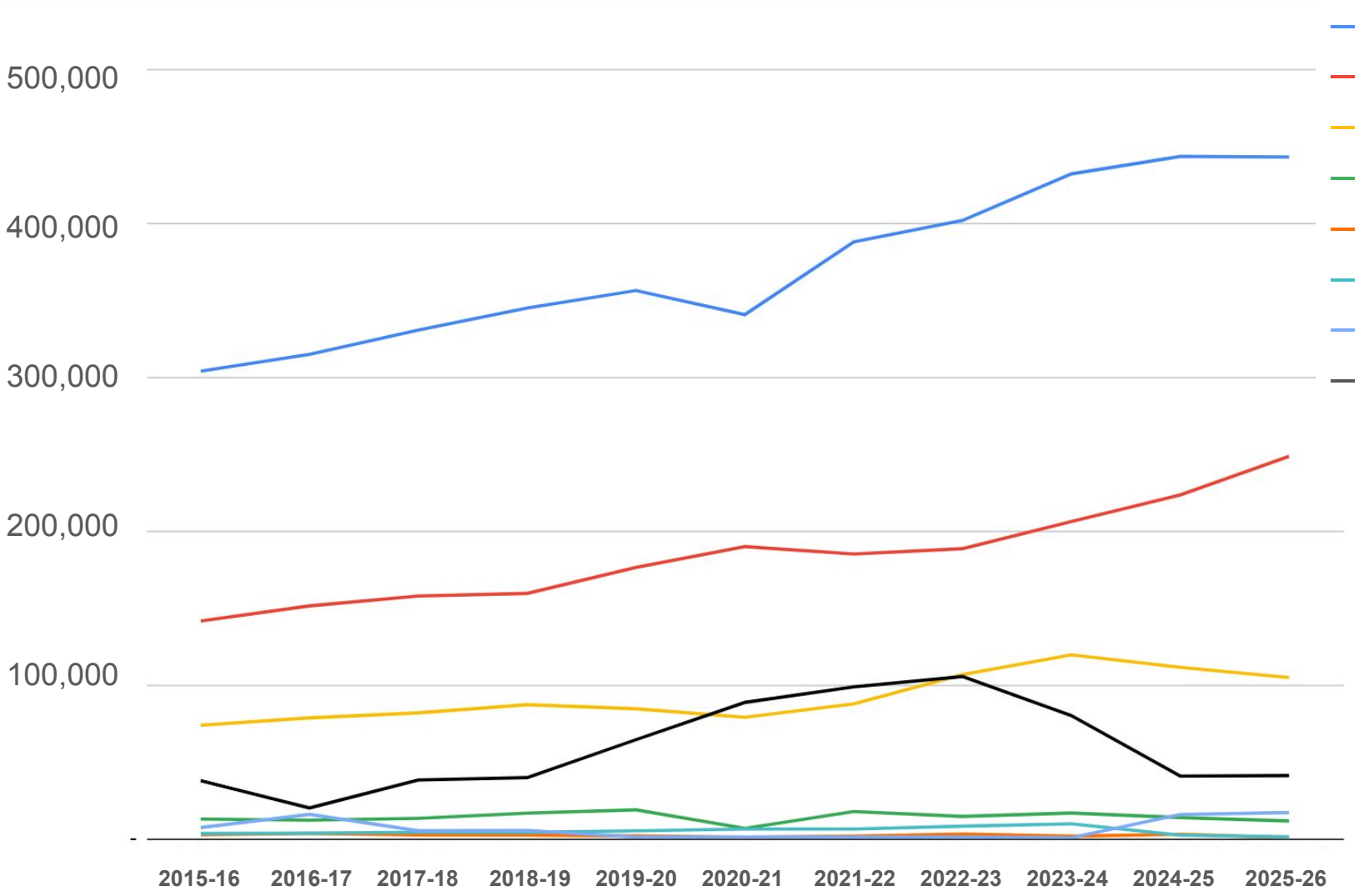
Use of one time funds for operations is **not sustainable.**

2015-16 to 2025-26 General Fund Revenue (In Thousands)

2025-26 transfer of full reserves as fund balance reached the minimum.

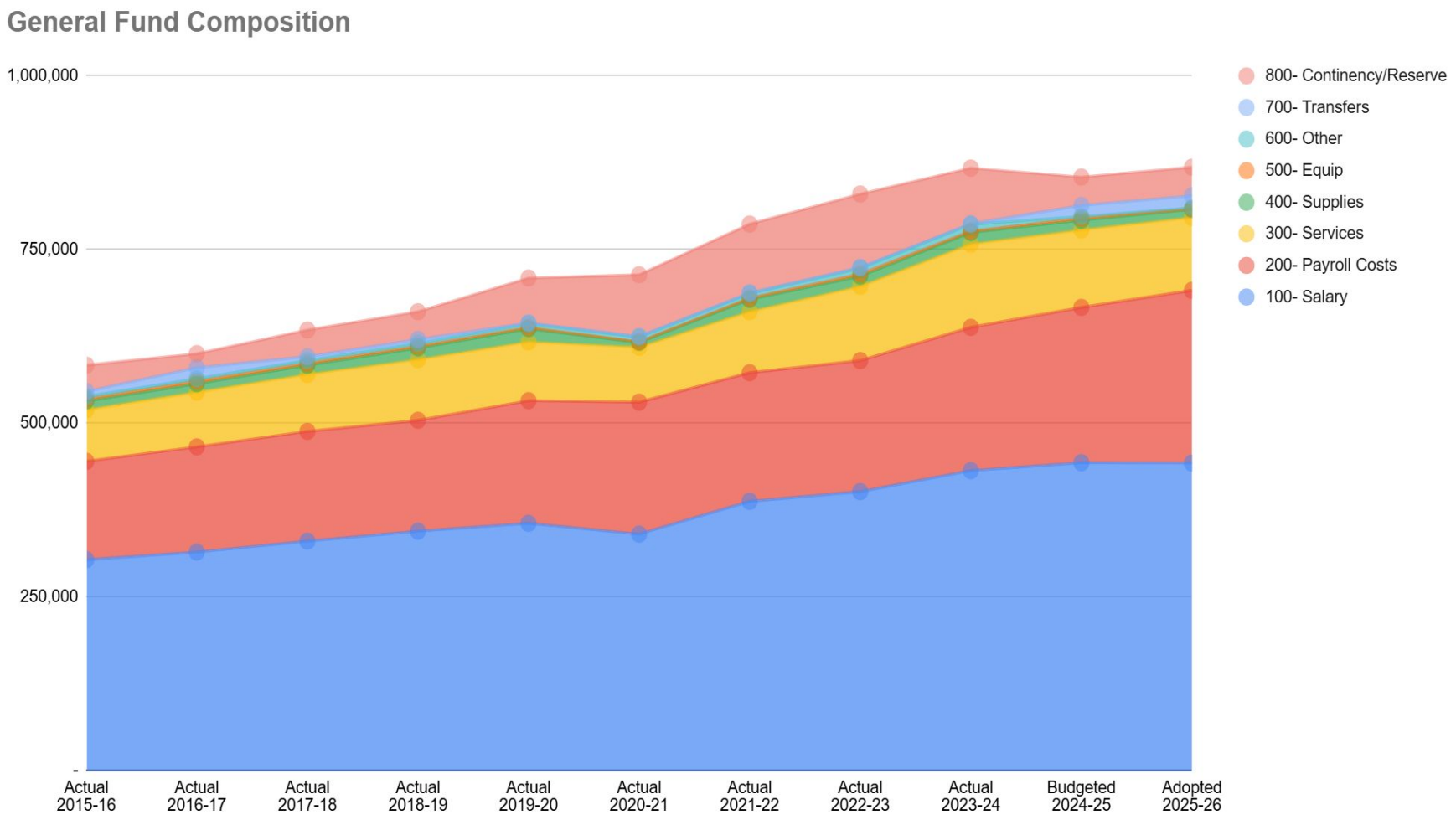


2015-16 to 2025-26 General Fund Expenses (In Thousands)



- ➔ Expenses for staffing have been rising, even with reductions to FTE
- ➔ Contingency has been reduced to the minimum target of 5%
- ➔ Contingency funds are one-time and should not be used for regular staffing or operations

2015-16 General Fund Spending Stacked (In Millions)



- Expenses for staffing have been rising, even with reductions to FTE
- Note: contingency has been reduced to the minimum target of 5%
- Contingency funds are one-time and should not be used for regular staffing or operations

DRAFT: Estimates are preliminary.